INTERNSHIP REPORT

Submitted

For the Partial Fulfilment of the Requirement for the Degree of Bachelor of _____ with _____ (Major and Minor Subjects) under **Magadh University**

Submitted to

The Department of _____, _____ **(College Name)**

[Paste College Logo here]

Submitted by

Name : _____

Semester : _____

Programme FYUGP : _____

University's Registration No. : _____

College Roll No. : _____

Year : _____

RK NEXORA
CAMPUS TO CAREER
A Unit of RKNexora Private Limited.

INTERNSHIP REPORT

Topic - Financial Management

Submitted to the Head of Department, _____ (College Name), in partial fulfilment of the requirements for the Degree of _____, Magadh University

Name of Student : _____

Programme : _____

University Registration No. : _____

College Roll No. : _____

Internship Registration No. : _____

Name of the IPO / Agency : RKNEXORA PRIVATE LIMITED

Internship Period : _____ to _____

Semester : _____

Year / Session : _____



_____ _____

Signature of Student **Seal & Signature of IPO**

ACKNOWLEDGEMENT

I express my sincere gratitude to RK NEXORA, RKNEXORA PRIVATE LIMITED, _____ (College Name), my faculty mentors and the internship supervisor, _____, for their guidance and support. The structured activities, learning resources and regular feedback helped me complete this internship in Financial Management successfully.

I am thankful to the Head of the Department and the college mentor for their encouragement and for guiding me in preparing this report. I am also grateful to the management of RKNEXORA PRIVATE LIMITED for providing a professional learning environment and the opportunity to learn and apply my knowledge in a practical setting. The concept sessions, hands-on tasks with sample data and case studies, and the supervisor's patient and detailed feedback helped me understand how financial statements are read, budgets are prepared and financial decisions are taken.

Finally, I thank my family and peers for their constant encouragement throughout the programme.

_____

Name: _____

University Registration No. - _____

INTERNSHIP COMPLETION CERTIFICATE

The Internship Completion Certificate issued by RKNEXORA PRIVATE LIMITED for the internship in Financial Management is to be attached on this page.

[Attach the original / printed copy of the QR-verified Internship Completion Certificate here]

Certificate No. _____

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PREFACE

Internships are an important part of the undergraduate programme, as they allow students to see how classroom learning is applied in real organisations. The Four-Year Undergraduate Programme (FYUGP), introduced in line with the National Education Policy 2020, gives special importance to experiential learning, skill development and employability. This report has been prepared as part of the internship requirement of Magadh University and the Higher Education guidelines applicable in Bihar.

The report describes the internship undertaken in Financial Management at RKNEXORA PRIVATE LIMITED, the plan followed, the work carried out, and the learning gained. Money is the common thread of every business. Whether a shop, a school or a factory, it must know how much it earns, how much it spends, what it owns and owes, whether it can pay its bills and whether a new investment is worth making. Financial management is the discipline that answers these questions with the help of financial statements, budgets, ratios, cost sheets and investment appraisal. For a young person it is also a practical life skill, useful in managing personal savings, loans and taxes. This report describes how the main topics of financial management were studied and how a financial analysis and budgeting project was completed for a fictitious trading firm, Shree Traders, using dummy figures.

The report has been arranged in the order suggested by the University, beginning with the cover page and acknowledgement and ending with the conclusion and attendance sheet. It is hoped that it gives a clear and honest account of the internship experience. All examples in this report use dummy data and fictitious names; no real personal or business information has been handled.

EXECUTIVE SUMMARY

This report documents the internship completed in Financial Management at RKNEXORA PRIVATE LIMITED (RK NEXORA - 'Campus to Career'). The programme required a minimum of 120 hours, completed over about four to five weeks (28 working days) with daily sessions of four to five hours, and was supported by an attendance log, supervisor guidance and review.

Background. Financial management is the planning, organising, directing and controlling of the financial activities of an organisation: obtaining funds, using them well and deciding how profits are shared. It covers three broad decisions - the investment decision (where to put money), the financing decision (where to get money from) and the dividend decision (how much profit to keep and how much to distribute) - and the day-to-day management of working capital. Its tools include the accounting statements, budgets, ratio analysis, costing, capital budgeting and the study of cash flows.

Objectives. The internship aimed to (i) read and prepare basic financial statements, (ii) prepare budgets and forecasts, (iii) calculate and interpret financial ratios, (iv) understand working capital management, (v) prepare a simple cost sheet, (vi) evaluate projects by payback and NPV, (vii) prepare a cash flow statement, (viii) understand basic tax concepts such as GST and income tax, (ix) compare simple investment options, and (x) present financial information in a clear report.

Work carried out. Each topic had a concept session followed by hands-on work in MS Excel with dummy figures of a fictitious firm, Shree Traders. The student prepared an income statement and balance sheet, a quarterly sales budget, a ratio analysis, a working capital cycle, a cost sheet, a project appraisal and a cash flow statement, compared investment options and wrote a financial report. The last part of the programme was devoted to the project, a case study exercise, a mock practical exercise, supervisor review and preparation of this report.

Project. The work was tied together in a project titled **Financial Analysis & Budgeting Project**. The project prepared the financial statements of Shree Traders for a year, calculated its main ratios, analysed its working capital, prepared a quarterly budget and compared actual sales with it, and evaluated a machine purchase by payback and net present value.

Method. A blended method was followed - learn, practise, document and review - supported by a daily attendance log with day-wise remarks and regular feedback from the supervisor.

Learning gained. The student gained a clear understanding of financial statements, budgeting, ratio analysis, working capital, costing, project appraisal, cash flow, basic taxes and investment, together with the habit of checking every figure and explaining it in simple words.

Key observations. Profit is not the same as cash; a firm can be profitable and still run out of money if its stock and debtors are too high; ratios are meaningful only when compared with earlier years, targets or similar firms; and a budget is useful only when actual results are compared with it regularly and the differences are explained.

Conclusion. The internship met its objectives and contributed to the student's academic understanding, employability and confidence. The report follows the University's suggestive format: cover page, acknowledgement, certificate, contents, preface, executive summary, about the agency, plan and execution, learning outcome, conclusion and attendance sheet.

ABOUT THE AGENCY

RK NEXORA, a unit of RKNEXORA PRIVATE LIMITED, provides structured internship and skill-development programmes under the theme 'Campus to Career'. The organization focuses on academic-industry alignment, practical exposure, assessment, documentation and employability-oriented learning.

Particulars	Details
Name of Agency	RKNEXORA PRIVATE LIMITED
Programme / Unit	RK NEXORA - Campus to Career
Registered Office	C/O Mukesh Kumar, Khiri, PS Atri, Jethiyan, Atri, Gaya - 805236, Bihar, India
CIN	U85499BR2026PTC086757
Email	rknexorapvtltd@gmail.com
Website	www.rknexora.org
Internship Topic	Financial Management

1. Vision

To support students in developing practical, professional and industry-relevant capabilities.

2. Mission

To deliver structured learning experiences that connect academic knowledge with workplace expectations.

3. Activities of the Agency

1. Structured internship programmes aligned with university and higher-education requirements.
2. Skill-development learning modules, practical activities and assignments.
3. Attendance tracking, supervision, assessment and documentation.
4. Employability-oriented guidance connecting campus learning to career readiness.

4. Programme Structure

The internship programme is organised around a fixed number of learning hours, completed over a defined period. Each intern is registered on the internship portal with a unique registration number, is assigned a supervisor, follows a day-wise plan and maintains an attendance log. Learning is organised into three phases: **Orientation** (Days 1-2), **Learning and Practice** (Days 3-22, ten sub-topics of two days each: one concept day and one hands-on day) and **Project and Review** (Days 23-28), followed by a concluding review.

5. Role of the Supervisor

The internship supervisor assigned by the agency guided the student through the programme, explained concepts, assigned practice tasks, reviewed the daily log and gave feedback. The supervisor also verified attendance and reviewed the student's work at the end of the programme.

PLAN AND EXECUTION

1. Objectives

The internship was planned around the following objectives, each linked to a part of the programme:

1. Read and prepare basic financial statements (Week 1).
2. Prepare budgets and forecasts and calculate variances (Week 1-2).
3. Calculate and interpret financial ratios (Week 2).
4. Understand working capital and prepare a simple cost sheet (Week 2-3).
5. Evaluate a project by payback and NPV and prepare a cash flow statement (Week 3-4).
6. Understand basic tax concepts and compare simple investment options (Week 4).
7. Prepare a financial report and complete the project (Weeks 4-5).

2. Methodology

The programme followed a blended method made up of four connected steps, repeated for each topic:

Learn. Each topic began with a concept session in which the supervisor explained the idea, its main terms and how it is used in real organisations. Notes were prepared in the student's own words.

Practise. The concepts were then applied in guided hands-on tasks - preparing an income statement and balance sheet, building a quarterly budget, calculating ratios, tracing the working capital cycle, preparing a cost sheet, calculating payback and NPV, preparing a cash flow statement, comparing investments, and writing a short financial report, all in MS Excel with dummy data. Only sample data and fictitious examples were used, so that no real personal or business information was handled.

Document. Every day's work was recorded in the internship attendance log with a short remark, and sheets, files and screenshots were saved so that the work could be reviewed.

Review. The supervisor reviewed the work, pointed out errors and suggested improvements. Review days, a case study and a mock practical exercise helped to consolidate the learning.

3. Understanding Financial Management - Concepts Studied

3.1 Financial statements

Financial statements are the formal summary of the money matters of a business. The income statement (also called the profit and loss account) shows the sales, the costs and the profit of a period. The balance sheet shows, on a given date, what the business owns (assets), what it owes to outsiders (liabilities) and what belongs to the owners (equity). The basic equation is Assets = Liabilities + Equity. The cash flow statement, studied later, shows the movement of cash. The statements of the dummy firm Shree Traders for the year are shown below; all figures are in rupees.

Income statement for the year	Rs.
Sales	12,00,000
Less: cost of goods sold	7,80,000
Gross profit (35% of sales)	4,20,000
Less: salaries	1,20,000
Less: rent	60,000
Less: depreciation	40,000
Operating profit (EBIT)	2,00,000

Income statement for the year	Rs.
Less: interest on loan (10% on Rs. 3,00,000)	30,000
Profit before tax	1,70,000
Less: tax at 25%	42,500
Net profit (PAT)	1,27,500

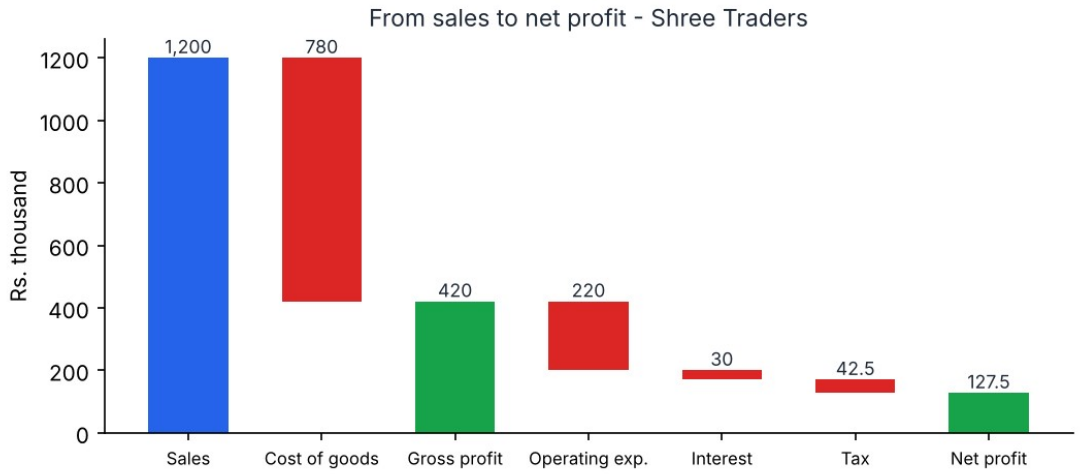


Figure 1: From sales to net profit (Rs. thousand)

Liabilities and equity	Rs.	Assets	Rs.
Owners' equity	3,00,000	Fixed assets (net)	4,00,000
Long-term loan	3,00,000	Inventory (stock)	1,50,000
Creditors	90,000	Debtors	1,00,000
Other current liabilities	10,000	Cash and bank	50,000
Total	7,00,000	Total	7,00,000

The two sides of the balance sheet agree at Rs. 7,00,000. Current assets (stock, debtors and cash) are Rs. 3,00,000 and current liabilities are Rs. 1,00,000, so the working capital is Rs. 2,00,000. The student noted that the income statement covers a period while the balance sheet is a photograph on one date.

3.2 Budgeting and forecasting

A budget is a plan expressed in money for a future period. It sets targets, guides spending, helps in coordination between departments and provides a standard against which actual performance is compared. Budgets may be fixed or flexible, short-term or long-term, and may be prepared for sales, purchases, production, expenses, cash and capital spending. The master budget combines them. A forecast is an estimate of what is likely to happen, while a budget is what the firm intends to achieve. The steps are to fix the objectives, collect past data, estimate sales, estimate costs, prepare the budgets, get approval, and then compare actual results with the budget and explain the variances.

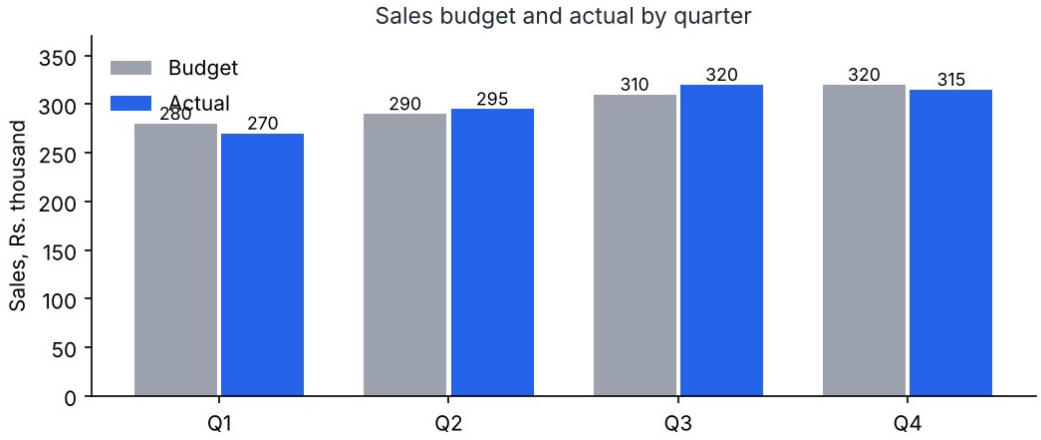


Figure 2: Sales budget and actual sales by quarter (Rs. thousand)

Quarter	Budget	Actual	Variance	Comment
Q1	2,80,000	2,70,000	-10,000 (adverse)	Slow start; stock shortage in two weeks
Q2	2,90,000	2,95,000	+5,000 (favourable)	Summer offer helped
Q3	3,10,000	3,20,000	+10,000 (favourable)	Festival sales
Q4	3,20,000	3,15,000	-5,000 (adverse)	Lower walk-ins in the last month
Year	12,00,000	12,00,000	Nil	Targets met overall; quarters differed

The total variance is nil, but the pattern shows a weak first quarter and a strong third quarter. The lesson drawn was that a yearly total can hide quarter-wise problems, so a budget should be reviewed every month or quarter.

3.3 Ratio analysis

A ratio expresses the relation between two figures of the statements and makes comparison easy. The ratios are grouped by purpose: liquidity ratios (can the firm pay short-term debts?), profitability ratios (how well does it earn?), activity ratios (how well does it use its assets?) and leverage ratios (how much does it depend on borrowing?). The ratios calculated for Shree Traders, with their formulas, are shown below.

Ratio	Formula	Calculation	Result
Current ratio	Current assets / current liabilities	3,00,000 / 1,00,000	3.0 times
Quick ratio	(Current assets - stock) / current liabilities	1,50,000 / 1,00,000	1.5 times
Gross profit margin	Gross profit / sales	4,20,000 / 12,00,000	35%
Net profit margin	Net profit / sales	1,27,500 / 12,00,000	10.6%
Return on assets	Net profit / total assets	1,27,500 / 7,00,000	18.2%

Ratio	Formula	Calculation	Result
Return on equity	Net profit / equity	1,27,500 / 3,00,000	42.5%
Debt-equity ratio	Long-term debt / equity	3,00,000 / 3,00,000	1.0
Interest coverage	EBIT / interest	2,00,000 / 30,000	6.67 times
Inventory turnover	Cost of goods sold / stock	7,80,000 / 1,50,000	5.2 times
Asset turnover	Sales / total assets	12,00,000 / 7,00,000	1.71 times

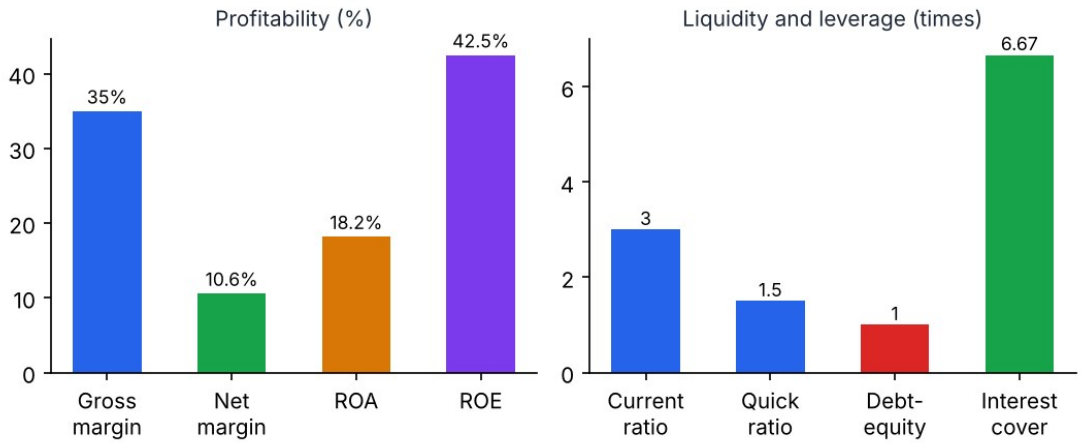


Figure 3: Profitability, liquidity and leverage ratios of Shree Traders

The interpretation is that the firm is comfortably liquid (current ratio of 3.0 against the common guide of about 2), earns a healthy gross margin of 35%, and covers its interest 6.67 times. The return on equity of 42.5% is high partly because half the funds are borrowed, which shows the effect of leverage. The student noted that a high current ratio can also mean too much money lying idle in stock and debtors, and that ratios must be compared with previous years and with similar firms before any conclusion is drawn.

3.4 Working capital management

Working capital is the money needed for day-to-day operations. Gross working capital is the total of current assets, while net working capital is current assets minus current liabilities (Rs. 2,00,000 for the firm). Managing it well means keeping enough cash to pay bills without keeping too much idle, and shortening the time between paying for goods and receiving money from customers. The working capital cycle for the firm is calculated below.

Item	Calculation	Days
Inventory days	365 / inventory turnover (365 / 5.2)	70.2
Debtor days	Debtors / sales x 365 (1,00,000 / 12,00,000 x 365)	30.4
Creditor days	Creditors / cost of goods sold x 365 (90,000 / 7,80,000 x 365)	42.1
Cash cycle	70.2 + 30.4 - 42.1	58.5



Figure 4: The working capital cycle of the firm

The firm takes about 58 days from paying its suppliers to receiving cash from its customers, and must fund this gap. The cycle could be shortened by cutting the stock held (70 days is long for a trading firm), by collecting from debtors faster through a small discount for early payment, and by negotiating a longer period from suppliers. If the stock days were reduced from 70 to 60, about Rs. 21,000 of cash would be freed (780000 / 365 x 10 = Rs. 21,370).

3.5 Cost accounting basics

Cost accounting records and analyses the cost of products to help in pricing, control and decisions. Costs are classified as direct (materials, labour and expenses that can be traced to a unit) and indirect (overheads), and as fixed (do not change with output, such as rent) or variable (change with output, such as raw material). A cost sheet arranges the elements step by step to arrive at the cost and the selling price. The cost sheet for one unit of a product made by a small workshop is shown below.

Element	Rs. per unit
Direct materials	120
Direct labour	40
Direct expenses	10
Prime cost	170
Add: factory overhead	30
Works cost	200
Add: administration overhead	20
Cost of production	220
Add: selling and distribution overhead	15
Cost of sales	235
Add: profit at 20% on cost	47
Selling price	282

Break-even analysis was also studied. If the fixed cost is Rs. 60,000 a month, the selling price is Rs. 282 and the variable cost is Rs. 170 + Rs. 15 = Rs. 185 per unit (taking direct costs and selling costs as variable), the contribution per unit is 282 - 185 = Rs. 97 and the break-even point is 60,000 / 97 = about 619 units a month. Sales above this number give a profit.

3.6 Capital budgeting

Capital budgeting is the process of deciding whether to spend large sums on long-term assets such as machines, buildings or a new shop. The commonly used methods are payback period (how soon the money is recovered), net present value (NPV - the present value of the future cash inflows minus the investment, using a discount rate that reflects the cost of money) and internal rate of return (IRR - the discount rate at which NPV is zero). A project is accepted when its NPV is positive. Money received later is worth less than money received now, which is why the cash flows are discounted. The method was applied to the purchase of a machine costing Rs. 5,00,000 with an expected life of five years.

Year	Cash inflow (Rs.)	Cumulative (Rs.)	Discount factor at 10%	Present value (Rs.)
0	(5,00,000)	(5,00,000)	1.000	(5,00,000)
1	1,50,000	(3,50,000)	0.909	1,36,364
2	1,80,000	(1,70,000)	0.826	1,48,760
3	2,00,000	30,000	0.751	1,50,263
4	2,00,000	2,30,000	0.683	1,36,603
5	1,50,000	3,80,000	0.621	93,138
Total	8,80,000			6,65,128

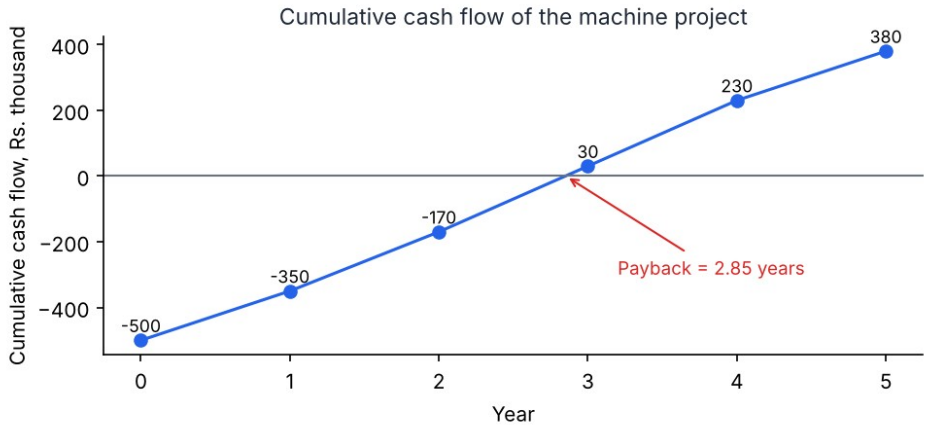


Figure 5: Cumulative cash flow of the machine project

The payback period is 2 years plus (1,70,000 / 2,00,000) of the third year, which is 2.85 years. The NPV at 10% is 6,65,128 - 5,00,000 = Rs. 1,65,128, which is positive, so the project is acceptable. At a discount rate of 15% the NPV is about Rs. 86,971, at 20% about Rs. 22,473 and at 25% it becomes negative (about minus Rs. 31,328), so the IRR is about 22%. The student noted the limitations: the cash flows are estimates, payback ignores the cash flows after the payback year, and NPV depends on the chosen rate.

3.7 Cash flow analysis

Profit and cash are different things. A sale made on credit increases profit at once but brings cash only when the customer pays, and depreciation reduces profit without any cash going out. The cash flow statement therefore shows the actual movement of cash in three groups: operating activities (the day-to-day business), investing activities (buying or selling long-term assets) and financing activities (loans, capital and dividends). The statement of the firm is shown below.

Cash flow statement	Rs.
Net profit	1,27,500
Add: depreciation (no cash goes out)	40,000

Cash flow statement	Rs.
Less: increase in debtors	(20,000)
Less: increase in stock	(30,000)
Add: increase in creditors	15,000
Cash from operating activities	1,32,500
Purchase of equipment	(80,000)
Cash used in investing activities	(80,000)
Repayment of loan	(25,000)
Dividend paid	(30,000)
Cash used in financing activities	(55,000)
Net change in cash	(2,500)
Opening cash	52,500
Closing cash (as in the balance sheet)	50,000

The firm earned a profit of Rs. 1,27,500 but its cash fell slightly by Rs. 2,500, because money was locked in higher stock and debtors, and was used to buy equipment, repay a loan and pay a dividend. This is a clear example of why a firm must watch its cash and not only its profit.

3.8 Tax basics

Taxes are compulsory payments to the government. In India, the main taxes met by a small business are income tax, the Goods and Services Tax (GST) and, for employees, tax deducted at source (TDS). Income tax is charged on the income of individuals and firms at the rates fixed by the Finance Act each year, and the rates and slabs change from time to time, so the latest rules must always be checked on the official income tax portal; in the dummy statements a flat rate of 25% was assumed only for learning. GST is an indirect tax charged on the supply of goods and services; a registered business collects GST on its sales (output tax), pays GST on its purchases (input tax) and deposits only the difference. For example, a trader sells goods for Rs. 10,000 at 18% GST, collecting Rs. 1,800. If the goods were bought for Rs. 6,000 with Rs. 1,080 of GST, the trader pays 1,800 - 1,080 = Rs. 720 to the government. The student also noted the need for proper invoices, timely returns and records, because delays bring penalties.

Tax	Charged on	Who bears it	Basic point
Income tax	Income and profit	Person or firm	Rates and slabs change; check the current rules
GST	Supply of goods and services	The final consumer; the trader collects and deposits it	Output tax minus input tax
TDS	Payments such as salary and rent	Deducted by the payer, credited to the receiver	Deposit and return on time

3.9 Investment analysis

Investment means putting money to work so that it grows. The main factors to consider are the return, the risk, the liquidity (how quickly the money can be taken out), the period and the tax treatment. Common options for small savers include bank fixed deposits, recurring deposits, Public Provident Fund, post office schemes, mutual funds and shares, gold and real estate; each has a different balance of risk and return. Two simple calculations were practised. The first is compound interest: Rs. 1,00,000 invested for five years at 7% a year grows to 1,00,000 x (1.07)^5 = Rs. 1,40,255, so the interest earned is Rs. 40,255. The second is a monthly investment plan: Rs. 5,000 invested every month for ten years at an assumed return of 12% a year (1% a month) grows to about Rs. 11.6 lakh, of which Rs. 6 lakh is the amount invested. The figures are illustrations of the power of regular saving and compounding, not a promise of returns; market returns vary and can be negative, and the student noted that advice on any particular product should be taken from a registered adviser.

Option	Risk	Liquidity	Return nature
Bank fixed deposit	Low	Medium (penalty on early withdrawal)	Fixed, known in advance
Public Provident Fund	Low	Low (long lock-in)	Fixed by the government, tax benefits
Mutual fund (equity)	High	High	Market-linked, may vary a lot
Gold	Medium	High	Price changes with the market

3.10 Financial reporting

Financial reporting is the presentation of financial information to those who need it: owners, managers, banks, tax authorities and investors. A good report starts with a short summary of the main results, shows the statements, explains the ratios and the changes from last year, discusses the risks and ends with recommendations. In India, companies follow the Companies Act, 2013 and the Indian Accounting Standards, while small firms follow the accounting standards applicable to them; the student studied only the basics. The characteristics of useful information are that it is relevant, accurate, timely, comparable and clear. The student prepared a two-page financial report of Shree Traders in plain language with the key figures, three charts and recommendations.

4. Week-wise Plan and Execution

Week	Days	Activities
Week 1	Days 1-6	Orientation and foundations: company induction, financial statements basics and budgeting and forecasting, each with a study session and a practice task.
Week 2	Days 7-12	Analysis: ratio analysis, working capital management and cost accounting basics.
Week 3	Days 13-18	Investment decisions: capital budgeting and cash flow analysis.
Week 4	Days 19-24	Application: tax basics, investment analysis, financial reporting, the Financial Analysis & Budgeting project, a case study exercise and a mock practical exercise.
Week 5	Days 25-28	Project closure: supervisor review and feedback, internship report drafting, presentation preparation and final review.

5. Week-wise Narrative

Week 1: The first week was devoted to orientation and foundations. After company induction, the student studied the income statement and the balance sheet, prepared both for the dummy firm, and learnt the steps of budgeting.

Week 2: In the second week the student calculated the ratios of the firm, traced its working capital cycle and prepared a cost sheet with a break-even calculation.

Week 3: The third week was devoted to capital budgeting, where payback and NPV of a machine purchase were calculated, and to the cash flow statement.

Week 4: In the fourth week the student studied GST and income tax basics, compared investment options, wrote the financial report, completed the project, a case study exercise and a mock practical exercise.

Week 5: The last week was devoted to project closure: supervisor review and feedback, drafting of the internship report, preparation of a presentation and final review before submission.

6. Topic-wise Learning in Detail

6.1 Financial Statements Basics

Concept: Income statement, balance sheet and the accounting equation. **Practice carried out:** Preparing the income statement and balance sheet of Shree Traders and checking that the balance sheet agrees.

6.2 Budgeting and Forecasting

Concept: Preparing budgets and analysing variances. **Practice carried out:** Preparing a quarterly sales budget and explaining the variances (Figure 2).

6.3 Ratio Analysis

Concept: Liquidity, profitability, activity and leverage ratios. **Practice carried out:** Calculating ten ratios with formulas and writing a one-paragraph interpretation.

6.4 Working Capital Management

Concept: Managing current assets and current liabilities. **Practice carried out:** Calculating inventory, debtor and creditor days and the cash cycle (Figure 4).

6.5 Cost Accounting Basics

Concept: Cost classification and preparing a simple cost sheet. **Practice carried out:** Preparing a cost sheet to a selling price and a break-even point.

6.6 Capital Budgeting

Concept: Evaluating investment projects using payback and NPV. **Practice carried out:** Calculating payback, NPV and IRR of a machine project (Figure 5).

6.7 Cash Flow Analysis

Concept: Operating, investing and financing cash flows. **Practice carried out:** Preparing a cash flow statement and reconciling closing cash with the balance sheet.

6.8 Tax Basics

Concept: Basic income tax and GST concepts. **Practice carried out:** Working out output tax, input tax and net GST payable for sample sales.

6.9 Investment Analysis

Concept: Comparing simple investment options by return and risk. **Practice carried out:** Calculating compound interest and a monthly investment plan, and comparing options on risk and liquidity.

6.10 Financial Reporting

Concept: Preparing and presenting financial reports. **Practice carried out:** Writing a two-page financial report with key figures, charts and recommendations.

7. Ethics, Compliance and Financial Responsibility - Points Studied

Financial work depends on trust, so honesty and compliance are part of the profession. The points studied are summarised below.

- **Honest records:** record every transaction truthfully and keep the supporting bills and vouchers.
- **No manipulation:** never inflate profits or hide liabilities; misleading statements harm lenders, owners and the public.
- **Compliance:** pay taxes on time, file returns, and follow the law on GST, TDS and company affairs.
- **Confidentiality:** financial information of the firm and of customers must not be shared without permission.

- **Separation of duties:** the person who records, the person who approves and the person who handles cash should differ, to prevent fraud.
- **Prudence:** do not count a profit before it is earned and provide for likely losses.
- **Responsible borrowing and investing:** avoid unnecessary debt and understand a product before investing in it.

8. Process Flows Studied

8.1 Steps of a financial analysis

- Collect the income statement, balance sheet and cash flow data for the periods to be compared.
- Check that the statements agree with one another (the balance sheet balances, closing cash agrees).
- Calculate the ratios and the changes from the earlier period.
- Find the reasons for the main changes by looking at the underlying figures.
- Write the findings and recommendations in plain language.

8.2 Steps of a project appraisal

- List the cost of the project and the expected cash inflows for each year.
- Choose a discount rate that reflects the cost of money and the risk.
- Calculate payback, NPV and, if needed, IRR.
- Test the result at different rates and with lower cash flows.
- Accept the project only if the NPV is positive and the risk is acceptable.

9. Worked Examples with Sample (Dummy) Data

Worked example 1 - effect of faster collection. The firm has sales of Rs. 12,00,000 and debtors of Rs. 1,00,000, so the debtor days are 30.4. Suppose a 1% discount for payment within 10 days brings the average to 20 days. The new debtors are 12,00,000 / 365 x 20 = Rs. 65,753, which frees about Rs. 34,000 of cash. If half the customers take the discount, its cost is 1% of Rs. 6,00,000 = Rs. 6,000, so the net benefit depends on what the freed cash can earn or save. If the firm pays 10% interest on borrowing, the saving on Rs. 34,000 is only Rs. 3,400, less than the discount cost, so the scheme is not worthwhile at this rate. The calculation shows why every offer must be tested with numbers.

Worked example 2 - leverage. If the firm had no loan and the same EBIT of Rs. 2,00,000, it would pay no interest, the profit before tax would be Rs. 2,00,000 and the net profit Rs. 1,50,000 at 25% tax. But the equity needed would be Rs. 6,00,000, so the return on equity would be 25% against 42.5% with the loan. Borrowing therefore raised the return on equity because the business earned more (return on assets before tax 28.6% = 2,00,000 / 7,00,000) than the 10% cost of the loan; the same debt would reduce the return if the business earned less than 10%. The student concluded that debt increases both the gain and the risk.

Worked example 3 - margin of safety. With a break-even sales of about 619 units a month and actual sales of 800 units, the margin of safety is (800 - 619) / 800 = 22.6%, which means that sales can fall by about 22% before the workshop starts making a loss. A margin of safety below 10% would indicate a risky position.

10. Project: Financial Analysis & Budgeting Project

Problem statement. The owner of Shree Traders, a fictitious trading firm in Patna, wants to know how the firm performed in the year, whether it is financially healthy, whether it met its sales budget and whether to buy a machine costing Rs. 5,00,000 for a new packing activity. All figures are dummy figures prepared for learning.

10.1 Method

- Prepare the income statement, balance sheet and cash flow statement and check that they agree.
- Calculate the ratios and the working capital cycle and compare them with common guides.
- Prepare the quarterly sales budget and compare it with the actual sales.
- Evaluate the machine project by payback, NPV and IRR.
- Write the financial report with findings and recommendations.

10.2 Key findings

Question	Finding
Profitability	Sales of Rs. 12,00,000; gross margin 35%; net profit Rs. 1,27,500 (10.6% of sales); return on equity 42.5%.
Liquidity	Current ratio 3.0 and quick ratio 1.5; the firm can easily pay its short-term debts.
Debt	Debt-equity ratio of 1.0; interest covered 6.67 times; leverage is moderate.
Working capital	Cash cycle of about 58 days; stock days of 70 are long; cash fell by Rs. 2,500 in spite of profit.
Budget	Yearly sales met the budget, but the first quarter was Rs. 10,000 below and the third Rs. 10,000 above.
Machine project	Payback 2.85 years, NPV Rs. 1,65,128 at 10%, IRR about 22%: acceptable.

10.3 Recommendations

- Reduce stock days from 70 to about 60 to free around Rs. 21,000 of cash.
- Review the budget every month and keep extra stock for the festival quarter and during the first quarter.

- Accept the machine project, but fund part of it from profit and test the cash flow estimates at 20% lower inflows.
- Do not offer an early-payment discount unless the benefit exceeds the cost (Worked example 1).
- Keep the debt-equity ratio at or below 1.0 and watch the interest coverage.

10.4 Limitations

The data is dummy and for one year, the tax is a flat assumed rate, and the project cash flows are estimates. A real study would use audited statements of several years, compare the ratios with the industry and test the project under different assumptions. The student noted that the learning lies in the method and in the habit of checking each figure.

11. Case Study Exercise: Should a Small Bakery Buy an Oven on Loan?

A fictitious bakery in Gaya earns a profit of Rs. 1,80,000 a year and wants a new oven that costs Rs. 2,40,000. It can borrow the full amount at 12% interest for four years, repaid in equal yearly instalments of principal plus interest on the balance. The extra profit from the oven (after running costs, before interest) is estimated at Rs. 90,000 a year. The student was asked to advise.

Analysis. The interest in year 1 is 12% of 2,40,000 = Rs. 28,800, in year 2 on 1,80,000 it is Rs. 21,600, in year 3 on 1,20,000 it is Rs. 14,400 and in year 4 on 60,000 it is Rs. 7,200, a total of Rs. 72,000. The total extra income over four years is 4 x 90,000 = Rs. 3,60,000, so the gain after interest is 3,60,000 - 2,40,000 (cost) - 72,000 = Rs. 48,000 over four years, and the oven keeps working after the loan is paid. The payback on the cost alone is 2,40,000 / 90,000 = 2.67 years. The NPV of the extra income at 12% over four years is 90,000 x 3.037 = about Rs. 2,73,000 against the cost of Rs. 2,40,000, which gives about Rs. 33,000 positive (the exact factor is 3.0373).

Recommendation. The purchase is acceptable but the margin is thin. The bakery should pay a part from its own savings to reduce interest, confirm the extra profit with a trial, keep the yearly instalment (the first year is Rs. 60,000 plus Rs. 28,800 interest = Rs. 88,800) within the extra profit of Rs. 90,000, and check that its cash can bear a slow month. The risks noted were a fall in demand, repairs, and power cost.

12. Mock Practical Exercise: Analysing a Small Firm's Financial Position

A mock practical exercise was conducted at the end of the learning phase to check that the student could carry out a complete financial analysis independently within a fixed time. The task was to analyse the dummy statements of a fictitious tailoring shop and present recommendations. The steps followed were:

1. Statements: the income statement and balance sheet were arranged and checked so that the balance sheet agreed.
2. Ratios: liquidity, profitability, activity and leverage ratios were calculated with formulas.
3. Working capital: stock, debtor and creditor days and the cash cycle were calculated.
4. Budget: a quarterly sales budget was compared with actual sales and the variances were explained.
5. Project: a sewing machine purchase was evaluated by payback and NPV.
6. Cash flow: a simple cash flow statement was prepared and the closing cash reconciled.
7. Report: a one-page financial summary with key figures and three recommendations was prepared.
8. Presentation: the findings were presented to the supervisor in about five minutes.

13. Sample Checklists Prepared

Financial statements checklist

- The balance sheet balances; closing cash agrees with the cash flow statement.
- Depreciation, interest and tax are included.

- Figures are in one unit and for the same period.
- Supporting bills and vouchers are available.

Ratio and appraisal checklist

- Formulas written down with their values.
- Ratios compared with the earlier year or a target.
- Discount rate and assumptions stated; results tested at other rates.
- Recommendations follow from the numbers.

14. Tools and Resources

The following tools and resources were used during the internship: MS Excel for statements, ratios, budgets, NPV and charts, MS Word and PowerPoint for the report and presentation, dummy statements and case studies provided by the agency, templates for budgets and cost sheets, the official websites of the income tax department and the GST portal for reference, and regular mentor feedback.

15. Programme at a Glance

The programme was in the domain of Financial Management with RKNEXORA PRIVATE LIMITED as the agency. It required a minimum of 120 hours over 28 learning days, organised in three phases: Orientation (Days 1-2), Learning and Practice (Days 3-22) and Project and Review (Days 23-28). Attendance was recorded in the Internship Attendance Log, signed by the supervisor (see Attendance Sheet).

The approximate distribution of the effort across the topics is shown below.

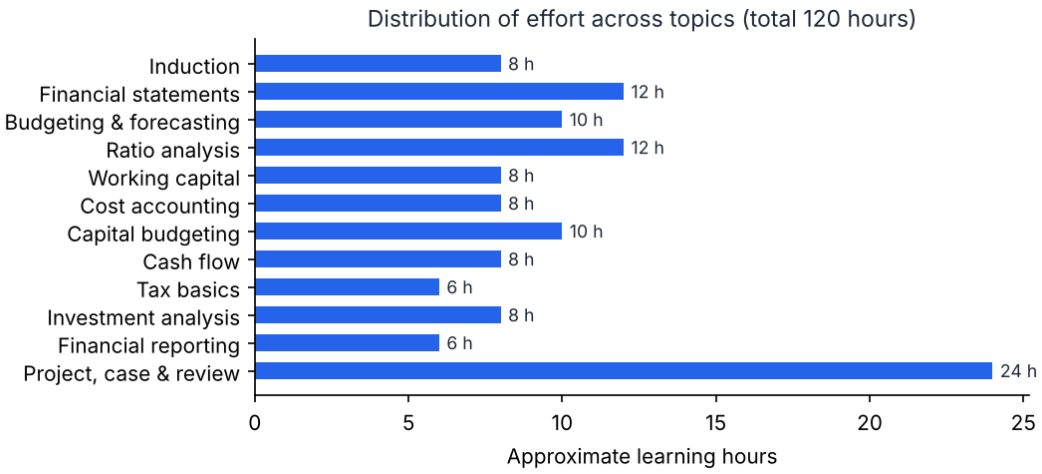


Figure 6: Distribution of learning effort across topics (120 hours)

LEARNING OUTCOME

a. Knowledge Acquired

1. The income statement, balance sheet and accounting equation.
2. Preparing budgets and calculating variances.
3. Liquidity, profitability, activity and leverage ratios.
4. Working capital and the cash cycle.
5. Cost classification, cost sheet and break-even point.
6. Payback, NPV and IRR in project appraisal.
7. The cash flow statement and the difference between profit and cash.
8. Basics of income tax, GST and TDS.
9. Compound interest and comparison of investment options.
10. Preparing and presenting a financial report.

Glossary of Terms Learned

- **Asset** - Something the business owns.
- **Liability** - Something the business owes.
- **Equity** - The owners' stake in the business.
- **Income statement** - A statement of sales, costs and profit for a period.
- **Balance sheet** - A statement of assets, liabilities and equity on a date.
- **EBIT** - Earnings before interest and tax.
- **Budget** - A plan in money for a future period.
- **Variance** - The difference between budget and actual.
- **Current ratio** - Current assets divided by current liabilities.
- **Working capital** - Current assets minus current liabilities.
- **Cash cycle** - Days between paying for stock and collecting from customers.
- **Prime cost** - Direct material, labour and expenses.
- **Break-even point** - Sales at which there is no profit and no loss.
- **NPV** - Present value of inflows minus the investment.
- **IRR** - The discount rate at which NPV is zero.
- **Payback** - Time to recover the investment.
- **GST** - Goods and Services Tax.
- **TDS** - Tax deducted at source.
- **Depreciation** - Spreading the cost of an asset over its life.

b. Skills Learned

Technical skills. Preparing financial statements; building budgets and variance analysis in MS Excel; calculating and interpreting ratios; preparing cost sheets; payback, NPV and IRR calculation; preparing a cash flow statement; applying GST calculations; comparing investments; and writing a financial report.

Professional skills. Accuracy and attention to detail; analytical thinking; honesty and integrity; time management; clear written and oral communication; and the habit of checking every figure before presenting it.

These skills were developed through repeated practice and daily documentation. Working through one set of statements from entries to report built accuracy and structure, checking that each statement agreed with the others built discipline, and explaining the results to the supervisor built confidence.

c. Observed Attitude and Gained Values

1. **Honesty and integrity:** figures must be presented as they are, even when the result is unwelcome.
2. **Accuracy and care:** a small error in one figure can carry through the whole statement.
3. **Compliance:** taxes and records must be handled according to law and on time.
4. **Confidentiality:** only dummy data was used and the importance of protecting financial information was understood.
5. **Discipline and punctuality:** regular reporting at fixed timings and daily attendance records.

d. Challenges Faced

Understanding the difference between profit and cash was handled by preparing the cash flow statement for the same firm.

Understanding NPV and discounting was handled by calculating each year's present value by hand before using the Excel function.

Making the balance sheet agree was handled by checking each item against the income statement and the cash flow.

Interpreting ratios without a benchmark was handled by comparing them with common guides and between periods.

Understanding tax rules that change was handled by learning the basic method and checking the official portals for current rates.

Managing time between calculation, documentation and report writing was handled by dividing work week by week and using review days for corrections.

e. Career Pathways

The knowledge gained supports careers such as Accounts Assistant, Junior Accountant, Finance Executive, Credit and Loan Officer, GST and Tax Assistant, Bank Clerk or Probationary Officer (with relevant examinations), Financial Analyst (junior), Budgeting and MIS Executive, and Stock and Investment Assistant. Opportunities exist in banks, insurance companies, accounting and tax firms, manufacturing and trading firms, NBFCs and government departments. Related higher-study options include B.Com, M.Com, MBA or PGDM in finance, CA, CMA, CS and CFA programmes, and certificate courses in Tally, GST and advanced Excel. A good next step is to learn Tally or a similar accounting package, advanced Excel and the basics of GST filing.

CONCLUSION

The internship in Financial Management was a valuable learning experience that integrated academic knowledge with practical activity. The programme achieved its objectives through structured learning, guided practice, assignments, supervisor review and documentation.

The student gained a clear understanding of how financial statements are read, budgets are prepared, ratios are interpreted and investment decisions are taken - through statements, budgeting, ratio analysis, working capital, costing, project appraisal, cash flow, tax basics and investment analysis - and acquired practical experience by analysing a dummy firm and preparing its financial report. The experience has strengthened the student's employability and provides a foundation for further study and work in accounting and finance.

Reflection

Looking back, the most useful lesson of the internship was that profit and cash are different, and that numbers become meaningful only when they are compared and explained. A firm with a good profit still saw its cash fall, and a loan raised the return on equity but also the risk. Calculating NPV by hand showed that the value of money depends on time, and the habit of checking that every statement agreed with the others proved the best protection against mistakes. The same skills help in managing personal money, savings, loans and taxes.

Objectives and Achievement

The objective of statements and budgets was achieved through the income statement, balance sheet and the quarterly budget. The objective of ratios and working capital was achieved through the ten ratios and the cash cycle. The objective of costing and project appraisal was achieved through the cost sheet and the NPV, payback and IRR calculations. The objective of cash flow, tax and investment was achieved through the cash flow statement, the GST example and the investment comparison. The objective of reporting was achieved through the financial report and the presentation to the supervisor.

Future Scope

The knowledge gained can support further study of commerce, finance and management, and careers in accounting, banking, taxation and financial analysis. With the growth of digital payments, GST compliance, start-ups and financial inclusion in Bihar and across India, there is a continuing need for people who understand finance and can explain it clearly.

Suggestions for Improvement of the Programme

1. Provide practice with accounting software such as Tally along with Excel.
2. Include a short module on GST return filing on the official portal.
3. Add a group project analysing the published annual report of a listed company.
4. Continue regular mentor feedback and progress reviews.
5. Encourage students to maintain detailed daily documentation.

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9. Goods and Services Tax Council: official GST portal.
10. RK NEXORA internship programme handbook.

ATTENDANCE SHEET

The Internship Attendance Log issued by the IPO, with the supervisor's signature for each day, is to be attached on this page.

[Attach the signed Internship Attendance Log here]